

HIVE pitch deck

PITCH — HIVE — PROPOSED VERDICT: FLAT / NO ENTRY into the Aug-18 earnings print; re-open the question afterward as a financing-structure case — PROPOSED — PENDING ADJUDICATION

HIVE Digital Technologies Ltd. (NASDAQ: HIVE) — Bitcoin miner pivoting to AI/HPC data centers (“BUZZ HPC”). Tape anchor \$2.76–2.84 (Aug 7 close \$2.84), 52-week range \$1.73–\$7.84, market cap ~\$764M. No position, no orders. Both benches, and the original thesis, independently reached the same bottom line: stay out ahead of the print.

What we believe

HIVE’s fiscal Q1 report (expected **August 18, 2026** — corroborated by two aggregators but **not confirmed by the company**, which is itself a warning sign) will be ugly, and the stock is not yet priced for the financing problem that follows it.

Specifically:

- **The quarter being reported had nothing good in it.** Mining gross margin was compressing toward roughly 16–22% on weak bitcoin economics (spot hashprice ~\$30.88, forwards ~\$30 — confirmed against Hashrate Index). None of the new AI contracts (Cohere, the Boden site, the Toronto-area “GTA” project) generated revenue in the quarter. The adjusted-EBITDA headline is a coin flip on currency moves.
- **There is no cushion left to dress the print up.** HIVE sold down its bitcoin treasury to just **150 BTC (~\$10.8M)** by fiscal year-end (it sold 331 BTC during the year), so there is no mark-to-market treasury gain available to flatter the numbers.
- **The real story is the funding gap, not the growth story.** The company’s own press release attaches “approximately CAD \$3.5 billion” (~US\$2.55B) of expected capital investment to the 320 MW GTA project, against roughly **\$250M of pro-forma liquidity** (\$23.1M year-end cash plus ~\$233M of convertible-note proceeds raised in April and June — proceeds already earmarked for GPU purchases to hit an 11,000-GPU / \$140M AI-cloud revenue target by year-end 2026). That’s roughly a 10:1 gap between the build cost and the money on hand, with the stock at \$2.84 versus the \$4.83 conversion price on the notes — meaning the cheap-financing window that existed in the spring is shut. Every path to funding GTA from here is either a partner’s balance sheet or dilution at depressed prices.
- **The company has gone quiet.** Its last press release was June 30; the monthly production updates it used to publish have stopped for all of 2026. Last year it pre-announced its results date in May. Silence from a company that used to over-communicate is signal.

What the market believes

The story is fully known. Eight analysts cover HIVE at a consensus **Strong Buy with an average price target of \$7.06** — 148% above the last close. The bull case (bitcoin miner converts cheap power into AI data-center revenue, \$660M annual recurring revenue pathway by end of 2028) is the *consensus* case, not a discovery. Yet the stock trades at \$2.84, down 65% from its 52-week high, having round-tripped from ~\$4.90 in April to a July low around \$2.54–2.57. So the market simultaneously believes the story (per the sell side) and doesn't (per the tape). The gap between the two is most plausibly the financing question we want to underwrite — the market is not paying for growth it doesn't believe the company can fund.

Why we might have edge

- **We did the balance-sheet work the headline numbers hide.** The published fiscal-year-end cash figure is \$23.1M — not the ~\$48M the original thesis carried, and thin against the capex commitments. Even adding digital currencies (\$10.8M) and investments (\$9.7M) only gets to \$43.6M.
- **We caught the treasury liquidation.** “Bitcoin miner with a BTC war chest” is stale — the war chest is gone (150 BTC). Anyone still modeling treasury support is wrong.
- **We sized the funding gap from primary documents**, including correcting our own red bench's currency error (details below): ~US\$2.55B of expected GTA build cost versus ~\$250M of liquidity, with the convert conversion price 70% above the stock.
- **We noticed what stopped being said.** The disappearance of monthly production releases and the missing results-date announcement are behavioral evidence that doesn't show up in any model.
- **The re-scoped question is genuinely open.** Whether Bell or a project-finance partner funds the GTA build — versus HIVE issuing equity-linked paper at depressed prices — is adjudicable within months and determines whether the \$660M revenue pathway accrues to current shareholders or to new capital.

Why it might be priced in

Honestly, much of it may be:

- The stock is *already* down 65% from its high and gave back the entire April rally. A 24% gross-margin quarter from a bitcoin miner in a \$30-hashprice environment surprises nobody.
- The sell side's \$7.06 target coexisting with a \$2.84 price means the market has already discounted the growth story heavily — plausibly *for exactly the financing reasons we identified*. Our “edge” may just be arithmetic the market did months ago.
- Fiscal Q4 (already reported) showed the inflection the bulls need: full-year revenue of \$297.8M (+158%), full-year adjusted EBITDA of +\$72.9M, HPC revenue reaching \$4.6M in the quarter

with \$35M of annualized recurring revenue. If Cohere revenue lands on schedule, the next few prints improve mechanically.

- **We could not check short interest** (a tooling gap this session). If the short side is crowded, a not-terrible print could squeeze, and our tactical “stay flat” would miss it. This is a known blind spot, not a settled question.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Thesis: “\$48.3M year-end cash”	10-K-derived financial databases, cross-corroborated (direct SEC fetch was blocked — see unverified)	Cash at 3/31/26 was \$23.1M ; current ratio 1.1x, not 3.7x. Blue bench specifically tested for a wrong-fiscal-year grab (FY25 cash was a deceptively similar \$23.38M) — the FY26 figure holds	REFUTED — our own thesis had this wrong
Bitcoin treasury cushion (thesis was silent)	Company FY26 results press release, fetched directly (primary source); CCN corroboration on the 331 BTC sold	Holdings down to 150 BTC / \$10.8M — the treasury is already liquidated. The thesis missed this entirely	CONFIRMED
Red bench: “GTA capex is \$3.5B = 4.6× the market cap — FATAL”	Blue bench re-read the press release	The PR says approximately CAD \$3.5B ≈ US\$2.55B . Red’s headline kill contained a currency-unit error , inflating the gap 37% (true ratio ~3.3× the cap, ~10:1 vs. liquidity). The conclusion survived; the “FATAL” framing rested on wrong arithmetic. Also: \$660M ARR by YE2028 is the company-wide pathway; GTA’s own target is \$360M	REDUCED (conclusion stands, number corrected)
Q4 figures (\$71.8M revenue, \$17.5M / 24% gross margin, −\$9.0M adj. EBITDA, 876 BTC mined, HPC \$19.5M FY / \$4.6M Q4, \$35M ARR)	Direct fetch of the FY26 results PR	All six figures verbatim; plus full-year adj. EBITDA +\$72.9M	CONFIRMED
Round-trip tape (no capitulation entry available)	Yahoo 1-year daily bars, concordant with the evidence-pack price (\$2.76/\$2.84)	Max close since April \$4.90; July low closes \$2.54–2.57; last \$2.84. Independent broker re-pull was denied this session — concordance, not independent verification	CONFIRMED (with caveat)
Disclosure withdrawal	Direct fetch of the company newsroom	Newest PR June 30; zero monthly production releases in 2026; last year’s results-date PR precedent makes the missing August announcement itself informative	CONFIRMED
Consensus positioning	stockanalysis.com direct	8 analysts, Strong Buy, \$7.06 average target, \$763.67M cap, earnings 8/18	CONFIRMED

Claim	How checked	Found	Confirmed?
Hashprice ~\$30.88 spot / ~\$30 forward	Hashrate Index July 13 roundup, direct fetch	Matches	CONFIRMED (upgraded from plausible)
Evidence-pack print date of 8/13	Two independent aggregators	8/18 , not 8/13 — the machine-built pack was wrong; still not company-confirmed	SUPERSEDED

Bench errors stated plainly: the **thesis** carried a wrong cash number and missed the two biggest attack surfaces (liquidated treasury, GTA capex); the **red bench** built its strongest kill on a CAD/USD unit slip; the **evidence pack** had a stale price-off-low figure and the wrong print date. All were caught inside the process, which is the point of running it — but none of us was clean.

PROPOSED ENTRY BANDS

The courts say no entry now. Unanimous FLAT into the August 18 print. These are therefore **reopen bands**, built from the benches' own numbers:

- **No position and no resting orders through August 18.** Nothing about the reported quarter can be good (margin ~16–22%E, zero new-contract revenue, no treasury gains available), and there is no washout price on the tape — July's \$2.54–2.57 lows were not a capitulation we can buy against at \$2.84.
- **Price-based tactical reopen: a close below ~\$2.54** (taking out the July closing lows) after the print would constitute the washout entry the thesis looked for and didn't find. Tactical only, small, and only if the print didn't reveal a new financing action already dilutive at those levels.
- **Fundamental reopen — any ONE of these re-convenes the court as a financing-structure case:**
 - A disclosed **GTA financing structure that is non-dilutive** (Bell-funded build, partner capital, or project finance);
 - The **Q1 filing shows >\$200M cash with quarterly capex <\$50M** and HPC revenue >\$8M for the quarter;
 - **Bitcoin above ~\$80k**, re-widening the mining margin that funds everything else.
- **Structural marker: \$4.83** (the convertible-note conversion price). Below it, the \$245M of 2031 notes behave like straight debt and any new money is dilutive; a durable move above it re-opens the cheap-financing window and materially changes the dilution math. Treat a reclaim of \$4.83 as a regime change, not a chase signal.
- **Upside reference, not a target:** consensus sits at \$7.06; the April rejection high was ~\$4.90.
- **Sizing:** none authorized. The post-print court decides size; the case's court-worthiness was cut from 7/10 to **5/10** and narrowed to the financing question, so any eventual position starts small.
- **Catalyst dates:** earnings ~**Aug 18, 2026** (unconfirmed by company); **year-end 2026** checkpoint for 11,000 GPUs / \$140M AI-cloud recurring revenue; Cohere go-live timing (undated — itself a gap); GTA financing disclosure (undated, could come any time).

ARMED SENSORS

- NONE ARMED — the deck must flag this as a gap

This is a gap. The courts' own tripwires imply at least the following sensors, none of which exist yet:

- **Print-date confirmation watch** — alert on any company PR naming the results date (the absence of one is currently doing signal work).
- **GTA financing watch** — alert on any 8-K / press release describing GTA funding structure (the single most decisive future fact).
- **Q1 filing watch** — extract cash, quarterly capex, and HPC revenue against the >\$200M / <\$50M / >\$8M tripwires the moment the filing drops.
- **Convert/dilution watch** — any new equity-linked issuance, ATM activity, or amendment to the \$4.83 notes.
- **Production-disclosure resumption watch** — the return (or continued absence) of monthly production PRs.
- **Bitcoin / hashprice level alert** — BTC > \$80k or hashprice sustained above ~\$40.
- **Short-interest pull** — close the coverage gap before the print; a crowded short changes the tactical picture.
- **Price alerts at \$2.54 and \$4.83** — the two levels the reopen bands key off.

What remains unverified

- **Short interest / crowding** — not obtainable this session; if the short side is crowded, the “stay flat through the print” tactic carries squeeze risk we haven’t measured.
- **Direct SEC balance-sheet read** — both benches’ fetchers were blocked (HTTP 403) on the 10-K and the XBRL API; the \$23.1M cash figure rests on multi-source corroboration of filing-derived databases, not our own read of the filing. The evidence pack’s XBRL fields came back empty for the same reason.
- **Independent tape re-pull** — the broker data request was denied this session; price history rests on Yahoo bars concordant with the pack, not two independent sources.
- **The August 18 print date itself** — aggregator-derived, not company-confirmed.
- **Cohere go-live timing and GTA financing structure** — the two facts that will actually decide the reopened case are, by nature, not yet knowable.

Primary source cited throughout: HIVE FY2026 results press release —

<https://www.hivedigitaltechnologies.com/news/hive-achieves-fy2026-total-revenue-of-2978-million-158-yoy-hives-buzz-hpc-positioned-for-growth/>

One process note: I don’t have file-write or shell access in this session, so this deck is delivered here rather than saved to `desk/reports/HIVE_PITCH_DECK_20260808.md` alongside the other five, and

the closing dashboard-update step (ledger upsert, entry plan, scanner re-run) couldn't run. Both should be done in a tool-enabled session — the reopen bands above (\$2.54 tactical, \$4.83 regime marker, the three fundamental tripwires) are what belongs in the entry_plan record.